CHAPTER 4

COMPLETING THE ACCOUNTING CY CLE

Accounting Principles, Eighth Edition

Study Objectives

1. Prepare a worksheet.
2. Explain the process of closing the books.
3. Describe the content and purpose of a post-closing t rial balance.
4. State the required steps in the accounting cycle.
5. Explain the approaches to preparing correcting entri es.
6. Identify the sections of a classified balance sheet.

Completing the Accounting Cycle

Using a Worksheet

- Steps in preparation
- Preparing financial statements
- Preparing adjusting entries

Closing the Books

- Preparing closing entries
- Posting closing entries
- Preparing a post-closing trial balance

Summary of Accounting Cycle

- Reversing entries—An optional step
- Correcting entries—An avoidable step

Classified Balance Sheet

- Current assets
- Long-term investments
- Property, plant, and equipment
- Intangible assets
- Current liabilities
- Long-term liabilities
- Owner's equity

Using A Worksheet

Worksheet

- A multiple-column form used in preparing fin ancial statements.
- Not a permanent accounting record.
- Five step process.
- Use of worksheet is optional.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

Illustration 4-2

Worksheet.xls

File Edit View Insert Format Tools Data Window Help

	A	B	C	D	E	F	G	H	I	J	K
1				Worksheet							
2											
3		Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
4											
5	Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
6											
7											
8											
9											
10											
11											
12											
13											
14											
15											

1 Prepare a trial balance on the worksheet

2 Enter adjustment data

3 Enter adjusted balances

4 Extend adjusted balances to appropriate statement columns

5 Total the statement columns, compute net income (or net loss), and complete worksheet

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

Example

The trial balance for Undercover Roofing for the month ended March 31, 2008, is as follows.

Account Titles	Trial Balance Dr.	Trial Balance Cr.
Cash	$ 2,500	
Accounts Receivable	1,800	
Roofing Supplies	1,100	
Equipment	6,000	
Accumulated Depreciation		$ 1,200
Accounts Payable		1,400
Unearned Revenue		300
I. Spy, Capital		7,000
I. Spy, Drawing	600	
Service Revenue		3,000
Salaries Expense	700	
Miscellaneous Expense	200	
Totals	$ 12,900	$ 12,900

Other data:

1. Supplies on hand total $140.
2. Depreciation for March is $ 200.
3. Unearned revenue amounted to $130 on March 31.
4. Accrued salaries are $350.

Instructions

a. Prepare and complete the w orksheet.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

1. Prepare a Trial Balance on the Worksheet

	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	2,500									
Accounts Receivable	1,800									
Roofing Supplies	1,100									
Equipment	6,000									
Accumulated Depreciation		1,200								
Accounts Payable		1,400								
Unearned Revenue		300								
I. Spy, Capital		7,000								
I. Spy, Drawing	600									
Service Revenue		3,000								
Salaries Expense	700									
Miscellaneous Expense	200									
Totals	12,900	12,900								

Trial balance amounts come directly from led ger accounts.

Include all acco unts with balan ces.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

2. Enter the Adjustments in the Adjustments Columns

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	2,500									
Accounts Receivable	1,800									
Roofing Supplies	1,100			(a) 960						
Equipment	6,000									
Accumulated Depreciation		1,200		(b) 200						
Accounts Payable		1,400								
Unearned Revenue		300	(c) 170							
I. Spy, Capital		7,000								
I. Spy, Drawing	600									
Service Revenue		3,000		(c) 170						
Salaries Expense	700		(d) 350							
Miscellaneous Expense	200									
Totals	12,900	12,900								
Supplies Expense			(a) 960							
Depreciation Expense			(b) 200							
Salaries Payable				(d) 350						
Totals			1,680	1,680						

Adjustments Key:

(a) Supplies used.

(b) Depreciation expense.

(c) Service revenue earned.

(d) Salaries accrued.

Add additional accounts as nee ded.

Enter adjustment amo unts, total adjustment s columns, and check for equality.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

3. Complete the Adjusted Trial Balance Columns

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	2,500				2,500					
Accounts Receivable	1,800				1,800					
Roofing Supplies	1,100			(a) 960	140					
Equipment	6,000				6,000					
Accumulated Depreciation		1,200		(b) 200		1,400				
Accounts Payable		1,400				1,400				
Unearned Revenue		300	(c) 170			130				
I. Spy, Capital		7,000				7,000				
I. Spy, Drawing	600				600					
Service Revenue		3,000		(c) 170		3,170				
Salaries Expense	700		(d) 350		1,050					
Miscellaneous Expense	200				200					
Totals	12,900	12,900								
Supplies Expense			(a) 960		960					
Depreciation Expense			(b) 200		200					
Salaries Payable				(d) 350		350				
Totals			1,680	1,680	13,450	13,450				

Total the adjusted trial balance columns and check for equality.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

4. Extend Amounts to Financial Statement Columns

	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	2,500				2,500					
Accounts Receivable	1,800				1,800					
Roofing Supplies	1,100			(a) 960	140					
Equipment	6,000				6,000					
Accumulated Depreciation		1,200		(b) 200		1,400				
Accounts Payable		1,400				1,400				
Unearned Revenue		300	(c) 170			130				
I. Spy, Capital		7,000				7,000				
I. Spy, Drawing	600				600					
Service Revenue		3,000		(c) 170		3,170		3,170		
Salaries Expense	700		(d) 350		1,050		1,050			
Miscellaneous Expense	200				200		200			
Totals	12,900	12,900								
Supplies Expense			(a) 960		960		960			
Depreciation Expense			(b) 200		200		200			
Salaries Payable				(d) 350		350				
Totals			1,680	1,680	13,450	13,450	2,410	3,170		

Extend all revenue and expense account balances to the income statement columns.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

4. Extend Amounts to Financial Statement Columns

	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	2,500				2,500				2,500	
Accounts Receivable	1,800				1,800				1,800	
Roofing Supplies	1,100			(a) 960	140				140	
Equipment	6,000				6,000				6,000	
Accumulated Depreciation		1,200		(b) 200		1,400				1,400
Accounts Payable		1,400				1,400				1,400
Unearned Revenue		300	(c) 170			130				130
I. Spy, Capital		7,000				7,000				7,000
I. Spy, Drawing	600				600				600	
Service Revenue		3,000		(c) 170		3,170		3,170		
Salaries Expense	700		(d) 350		1,050		1,050			
Miscellaneous Expense	200				200		200			
Totals	12,900	12,900								
Supplies Expense			(a) 960		960		960			
Depreciation Expense			(b) 200		200		200			
Salaries Payable				(d) 350		350				350
Totals			1,680	1,680	13,450	13,450	2,410	3,170	11,040	10,280

Extend all asset, liability, and e quity account balances to the b alance sheet columns.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

5. Total Columns, Compute Net Income (Loss)

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	2,500				2,500				2,500	
Accounts Receivable	1,800				1,800				1,800	
Roofing Supplies	1,100			(a) 960	140				140	
Equipment	6,000				6,000				6,000	
Accumulated Depreciation		1,200		(b) 200		1,400				1,400
Accounts Payable		1,400				1,400				1,400
Unearned Revenue		300	(c) 170			130				130
I. Spy, Capital		7,000				7,000				7,000
I. Spy, Drawing	600				600				600	
Service Revenue		3,000		(c) 170		3,170		3,170		
Salaries Expense	700		(d) 350		1,050		1,050			
Miscellaneous Expense	200				200		200			
Totals	12,900	12,900								
Supplies Expense			(a) 960		960		960			
Depreciation Expense			(b) 200		200		200			
Salaries Payable				(d) 350		350				350
Totals			1,680	1,680	13,450	13,450	2,410	3,170	11,040	10,280
Net Income							760			760
Totals							3,170	3,170	11,040	11,040

Compute Net Income or Net Loss.

LO 1 Prepare a worksheet.

Steps in Preparing a Worksheet

Review Question

Net income is shown on a work sheet in the:

a. income statement debit column only.

b. balance sheet debit column only.

c. income statement credit column and balance sheet debit column.

d. income statement debit column and balance s heet credit column.

LO 1 Prepare a worksheet.

Preparing Financial Statements from a Worksheet

Worksheet

- Income statement is prepared from the incom e statement columns.
- Balance sheet and owner's equity statement ar e prepared from the balance sheet columns.

Companies journalize and post adjusting entries.

LO 1 Prepare a worksheet.

Preparing Financial Statements from a Worksheet

b. Prepare an income statement for the month ended March 31, 2008.

Undercover Roofing
Income Statement
For the Month Ended March 31, 2008

Revenues		**$ 3,170**
Service revenues		
Expenses		
Salaries expense	**$ 1,050**	
Supplies expense	**960**	
Depreciation expense	**200**	
Miscellaneous expense	**200**	
Total expenses		**2,410**
Net income		**$ 760**

LO 1 Prepare a worksheet.

Preparing Financial Statements from a Worksheet

b. Prepare an owner's equity statement for the month en ded March 31, 2008.

Undercover Roofing
Statement of Owner's Equity
For the Month Ended March 31, 2008

I. Spy, Capital, March 1	$	7,000
Add: Net income		760
Less: Drawings		(600)
I. Spy, Capital, March 31	$	7,160

LO 1 Prepare a worksheet.

Preparing Financial Statements from a Worksheet

b. Prepare a balance sheet as of March 31, 2008.

Undercover Roofing

Balance Sheet

March 31, 2008

Assets		
Current assets		
Cash		$ 2,500
Accounts receivable		1,800
Roofing supplies		140
Total current assets		4,440
Property, plant, and equipment		
Equipment	6,000	
Less: Accumulated depreciation	1,400	4,600
Total assets		$ 9,040
Liabilities and Owner's Equity		
Current liabilities		
Accounts payable		$ 1,400
Salaries payable		350
Unearned revenue		130
Total current liabilities		1,880
Owner's equity		
I. Spy, Capital		7,160
Total liabilities and owner's equity		$ 9,040

LO 1 Prepare a worksheet.

Preparing Adjusting Entries from a Worksheet

Adjusting Entries

- The adjusting entries are prepared from the a djustments columns of the worksheet.
- Journalizing and posting of adjusting entries f ollows the preparation of financial statements when a worksheet is used.

LO 1 Prepare a worksheet.

Preparing Financial Statements from a Worksheet

c. Journalize the adjusting entries from the adjustm ents columns of the worksheet.

Date	Account Title	Ref.	Debit	Credit
Mar. 31	Supplies expense		960	
	Roofing supplies			960
	Depreciation expense		200	
	Accumulated depreciation			200
	Unearned revenue		170	
	Service revenue			170
	Salaries expense		350	
	Salaries payable			350

LO 1 Prepare a worksheet.

Discussion Question

Q4-2. Explain the purpose of the worksheet.

See notes page for discussion

LO 1 Prepare a worksheet.

Closing the Books

At the end of the accounting period, the company makes the accounts ready for the next period.

Illustration 4-5

TEMPORARY These accounts are closed	PERMANENT These accounts are not closed
All revenue accounts	All asset accounts
All expense accounts	All liability accounts
Owner's drawing account	Owner's capital account

LO 2 Explain the process of closing the books.

Closing the Books

Closing entries formally recognize, in the general ledger, the transfer of

- net income (or net loss) and
- owner's drawing

to owner's capital.

Closing entries are only at the end of the annual a ccounting period.

LO 2 Explain the process of closing the books.

Closing the Books

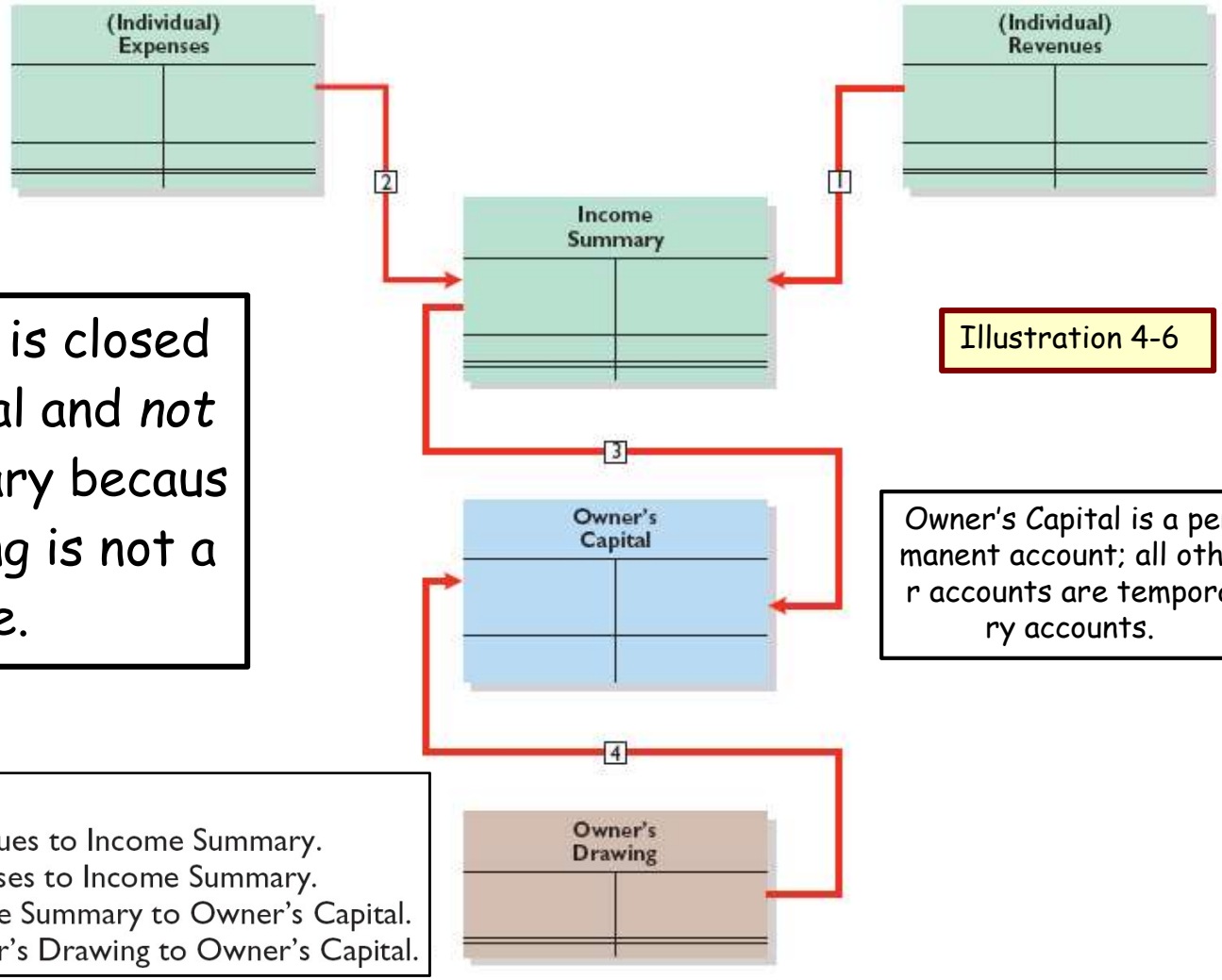


Illustration 4-6

Note:

Owner's Drawing is closed directly to Capital and *not* to Income Summary because Owner's Drawing is not an expense.

Owner's Capital is a permanent account; all other accounts are temporary accounts.

Key:
1 Close Revenues to Income Summary.
2 Close Expenses to Income Summary.
3 Close Income Summary to Owner's Capital.
4 Close Owner's Drawing to Owner's Capital.

LO 2 Explain the process of closing the books.

Closing the Books

d. Journalize the closing entries from the financial s tatement columns of the worksheet.

Closing Entries need t o be Po sted

Service revenue	3,170	
Income summary		3,170
Income summary	2,410	
Salary expense		1,050
Supplies expense		960
Depreciation expense		200
Miscellaneous expense		200
Income summary	760	
I. Spy, Capital		760
I. Spy, Capital	600	
I. Spy, Drawing		600

LO 2 Explain the process of closing the books.

Preparing a Post-Closing Trial Balance

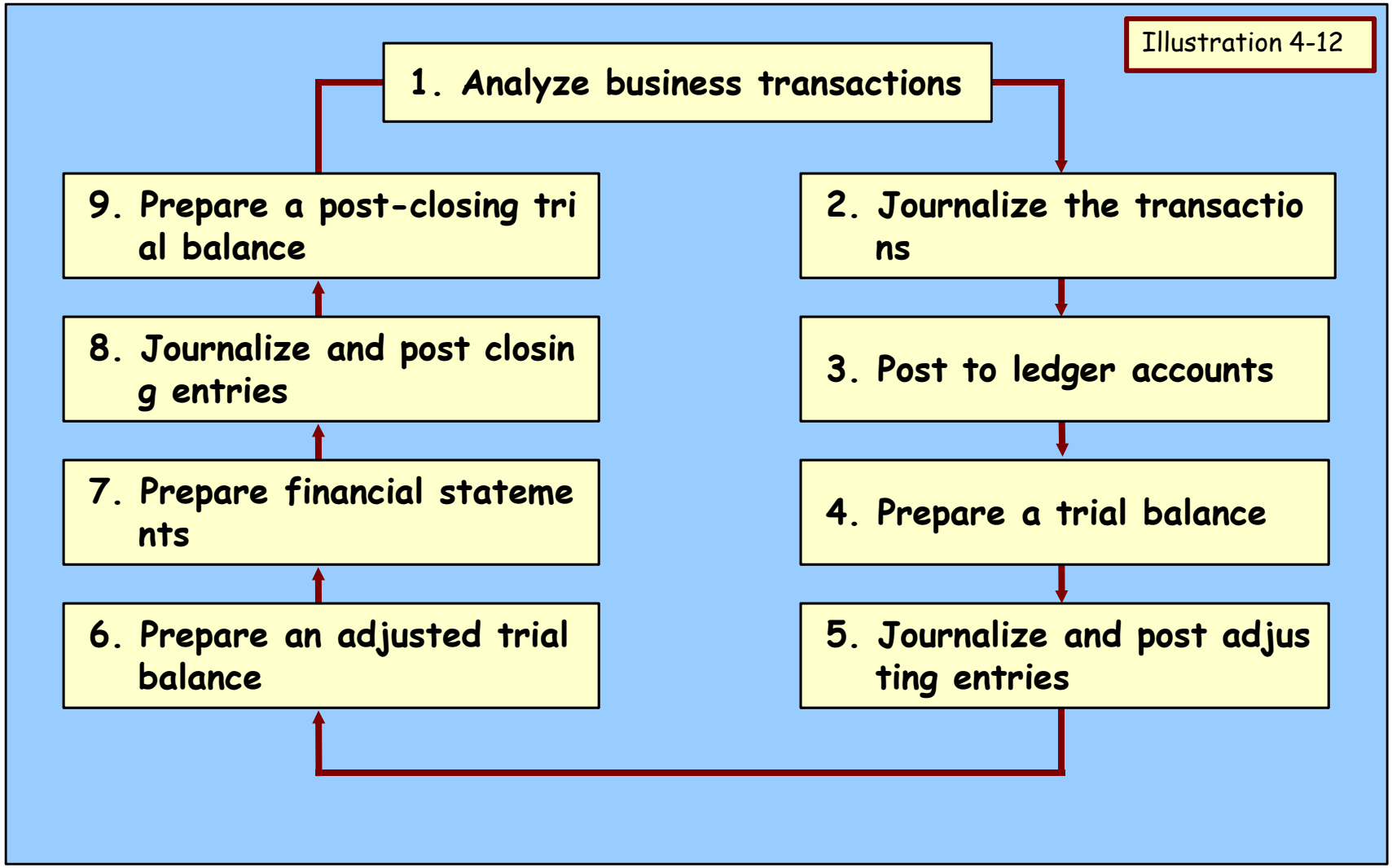
Purpose is to prove the equality of the permanent account balances after journalizing and posting of closing entries.

All temporary accounts will have zero balances.

Account Titles	Post-Closing Trial Balance Dr.	Post-Closing Trial Balance Cr.
Cash	$ 2,500	
Accounts Receivable	1,800	
Roofing Supplies	140	
Equipment	6,000	
Accumulated Depreciation		$ 1,400
Accounts Payable		1,400
Salaries payable		350
Unearned Revenue		130
I. Spy, Capital		7,160
Totals	$ 10,440	$ 10,440

LO 3 Describe the content and purpose of a post-closing trial balance.

Summary of the Accounting Cycle



LO 4 State the required steps in the accounting cycle.

Correcting Entries—An Avoidable Step

Correcting entries

- are unnecessary if the records are error-free.
- are made whenever an error is discovered.
- must be posted before closing entries.

Instead of preparing a correcting entry, it is possible to reverse the incorrect entry and then prepare the correct entry.

LO 5 Explain the approaches to preparing correcting entries.

Correcting Entries—An Avoidable Step

BE4-9 At Batavia Company, the following errors were discovere d after the transactions had been journalized and posted. Prep are the correcting entries.

1. A collection on account from a customer was recorded as a de bit to Cash and a credit to Service Revenue for $780.

Incorrect e ntry	Cash	780	
	Service revenue		780
Correct en try	Cash	780	
	Accounts receivable		780
Correcting entry	Service revenue	780	
	Accounts receivable		780

LO 5 Explain the approaches to preparing correcting entries.

Correcting Entries—An Avoidable Step

BE4-9 At Batavia Company, the following errors were discovere d after the transactions had been journalized and posted. Prep are the correcting entries.

2. The purchase of supplies on account for $1,570 was recorded as a debit to Store Supplies and a credit to Accounts Payable fo r $1,750.

Incorrect e ntry	Store Supplies	1,750	
	Accounts payable		1,750
Correct en try	Store Supplies	1,570	
	Accounts payable		1,570
Correcting entry	Accounts payable	180	
	Store Supplies		180

LO 5 Explain the approaches to preparing correcting entries.

The Classified Balance Sheet

- Presents a snapshot at a point in time.
- To improve understanding, companies group simi lar assets and similar liabilities together.

Standard Classifications

Illustration 4-17

Assets	Liabilities and Owner's Equity
Current assets	Current liabilities
Long-term investments	Long-term liabilities
Property, plant, and equipment	Owner's equity
Intangible assets	

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Current Assets

- Assets that a company expects to convert to cash or use up **within one year** or the **operating cycle**, whichever is longer.
- **Operating cycle** is the average time it takes from the purchase of inventory to the collection of cash from customers.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Current Assets

Illustration 4-19

THE COCA-COLA COMPANY
Balance Sheet (partial)
(in millions)

Current assets	
Cash and cash equivalents	$ 6,707
Short-term investments	61
Trade accounts receivable	2,171
Inventories	1,420
Prepaid expenses and other assets	1,735
Total current assets	$12,094

Companies usually list current asset accounts in the order th ey expect to convert them into cash.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Review Question

Cash, and other resources that are reasonably ex pected to be realized in cash or sold or consumed in the business within one year or the operating c ycle, are called:

a. Current assets.

b. Intangible assets.

c. Long-term investments.

d. Property, plant, and equipment.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Long-Term Investments

- Investments in stocks and bonds of other companies.
- Investments in long-term assets such as land or build ings that a company is not currently using in its opera ting activities.

Illustration 4-20

YAHOO! INC.
Balance Sheet (partial)
(in thousands)

Long-term investments	
Long-term marketable debt securities	$1,042,575

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Property, Plant, and Equipment

- Long useful lives.
- Currently used in operations.
- **Depreciation** - allocating the cost of assets to a n umber of years.
- **Accumulated depreciation** - total amount of depr eciation expensed thus far in the asset's life.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Property, Plant, and Equipment

Illustration 4-21

K2, INC.
Balance Sheet (partial)
(in thousands)

Property, plant, and equipment		
Land and land improvements	$ 6,794	
Buildings and leasehold improvements	55,900	
Machinery and equipment	204,651	
Construction in process	5,614	$272,959
Less: Accumulated depreciation		131,995
		$140,964

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Intangible Assets

- Assets that do not have physical substance.

Illustration 4-22

TIME WARNER, INC.
Balance Sheet (partial)
(in millions)

Intangible assets	
Film library	$ 3,361
Customer lists	868
Cable television franchises	29,751
Sports franchises	262
Brands, trademarks, and other intangible assets	9,643
	$43,885

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Review Question

Patents and copyrights are

a. Current assets.

b. Intangible assets.

c. Long-term investments.

d. Property, plant, and equipment.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Current Liabilities

- Obligations the company is to pay within the co ming year.
- Usually list notes payable first, followed by ac counts payable. Other items follow in order of magnitude.
- **Liquidity** - ability to pay obligations expected to be due within the next year.

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Current Liabilities

Illustration 4-23

MARCUS CORPORATION
Balance Sheet (partial)
(in thousands)

Current liabilities	
Notes payable	$ 2,066
Accounts payable	17,516
Current maturities of long-term debt	26,321
Taxes payable	14,889
Other current liabilities	14,809
Accrued compensation payable	8,614
Total current liabilities	$84,215

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Long-Term Liabilities

- Obligations a company expects to pay **after** one year.

Illustration 4-24

NORTHWEST AIRLINES CORPORATION
Balance Sheet (partial)
(in millions)

Long-term liabilities	
Long-term debt	$ 7,715
Other liabilities	4,346
Long-term obligations under capital leases	308
Total long-term liabilities	$12,369

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Review Question

Which of the following is not a long-term liability ?

a. Bonds payable

b. Current maturities of long-term obligations

c. Long-term notes payable

d. Mortgages payable

LO 6 Identify the sections of a classified balance sheet.

The Classified Balance Sheet

Owner's Equity

- Proprietorship - one capital account.
- Partnership - capital account for each partner.
- Corporation - Capital Stock and Retained Earnings.

Illustration 4-25

NORDSTROM, INC.
Balance Sheet (partial)
($ in thousands)

Stockholders' equity	
Common stock, 271,331 shares	$ 685,934
Retained earnings	1,406,747
Total stockholders' equity	$2,092,681

LO 6 Identify the sections of a classified balance sheet.

Discussion Question

Q4-18. (a) What is the term used to describe t he owner's equity section of a corporation? (b) I dentify the two owner's equity accounts in a corp oration and indicate the purpose of each.

See notes page for discussion

LO 6 Identify the sections of a classified balance sheet.

Reversing Entries

- It is often helpful to reverse some of the adjusting entries before recording the regular transactions of the next perio d.
- Companies make **a reversing entry at the beginning of the next accounting period**.
- Each reversing entry **is the exact opposite of the adjustin g entry made in the previous period.**
- **The use of reversing entries does not change the amount s reported in the financial statements.**

LO 7 Prepare reversing entries.

Reversing Entries Example

Illustration 4A-1

Without Reversing Entries (per chapter)

	Initial Salary Entry		
Oct. 26	Salaries Expense	4,000	
	Cash		4,000
	Adjusting Entry		
Oct. 31	Salaries Expense	1,200	
	Salaries Payable		1,200
	Closing Entry		
Oct. 31	Income Summary	5,200	
	Salaries Expense		5,200
	Reversing Entry		
Nov. 1	No reversing entry is made.		
	Subsequent Salary Entry		
Nov. 9	Salaries Payable	1,200	
	Salaries Expense	2,800	
	Cash		4,000

With Reversing Entries (per appendix)

	Initial Salary Entry		
Oct. 26	(Same entry)		
	Adjusting Entry		
Oct. 31	(Same entry)		
	Closing Entry		
Oct. 31	(Same entry)		
	Reversing Entry		
Nov. 1	**Salaries Payable**	**1,200**	
	Salaries Expense		**1,200**
	Subsequent Salary Entry		
Nov. 9	**Salaries Expense**	**4,000**	
	Cash		**4,000**

LO 7 Prepare reversing entries.

Copyright

"Copyright © 2008 John Wiley & Sons, Inc. All rights reserved. Reproduction or translation of this work beyond that permitted in Section 117 of the 1976 United States Copyright Act without the express written permission of the copyright owner is unlaw ful. Request for further information should be addressed to th e Permissions Department, John Wiley & Sons, Inc. The purcha ser may make back-up copies for his/her own use only and not f or distribution or resale. The Publisher assumes no responsibilit y for errors, omissions, or damages, caused by the use of these programs or from the use of the information contained herein."